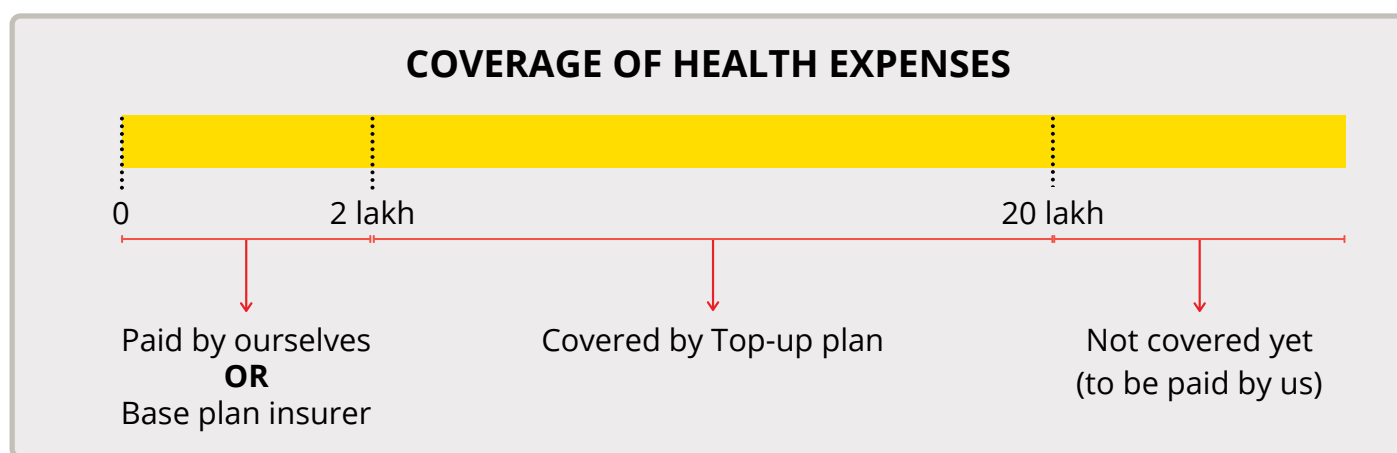


INSURING FOR LARGE AMOUNT

The video taught us to insure for larger amounts using top-up plans and base plans together rather than buying one large base plan. This reduces the up-front fee significantly for the same sum insured. Some people only buy a top-up plan, they let go of the base plan. For example, let us assume that they buy a top-up plan that covers all the expenses over and above Rs. 2 lac, up to Rs. 20 lac. In case a health-related liability arises, they will pay Rs. 2 lac out of their pocket and anything over that will be paid by the insurance company.



Remember that even if we have a bill of less than the base cover, we must file the same with an insurance company. This is because if there is any subsequent claim in the year, the first amount will be deducted. For instance, in the previous example, let's say we have an expense of Rs.1.5 lac and a subsequent expense of Rs.4 lac in the same year. So, if we report the first one to the top-up insurer, we will get back Rs.3.5 lac when we claim the second expense. The insurance company deducted Rs. 1.5 lac from the first claim and Rs. 50,000 from the second one. However, had we not reported the first claim, then the company would have deducted Rs. 2 lac from the second one when we would claim it. In that case, we would only receive the remaining Rs. 2 lac.

For people with sufficient liquidity and 12 months' worth of emergency fund (we will learn more on this in the planning phase), it is fine to have only a top-up plan. They can pay the base coverage from their savings and if this expense is significant, they can always get a claim from the insurance company. People with liquidity crunch and limited savings must buy both the base plan as well as the top-up plan.

Not having a top-up plan at least is a disaster. Any major illness, disease, or accident can ruin the Financial Plan. Smaller bills can still be handled without insurance, as they do not have that high financial implication. But countless families have seen their wealth being destroyed due to one member's critical illness. Top-up plans protect us against this.